

diversification in recent times that was a disaster was Burroughs Wellcome's diversification into sport goods, Nike Sportswear in particular. So was Metal Box's move into ball bearings and Spartek's acquisition of Neycer Ceramics. The point I am trying to make is that although companies must diversify in order to spread the risks of industrial slumps, every diversification may not suit a company. Similarly, all other issues raised in the Directors' Report should be analyzed. Did the company perform as well as others in the same industry? Is the finance being raised the most logical and beneficial for the company? It is imperative that the investor read between the lines of Directors' Report and find the answers to these questions.

In short, a Directors' Report is valuable and if read intelligently can give the investor a good grasp of the workings of a company, the problems it faces, the direction it intends taking, and its future prospects.

The Auditor's Report

The auditor represents the shareholders and it is his duty to report to the shareholders and the general public on the stewardship of the company by its directors. Auditors are required to report whether the financial statements presented do, in fact, present a true and fair view of the state of the company. Investors must remember that the auditors are their representative and that they are required by law to point out if the financial statements are not true and fair. They are also required to report any change, such as a change in accounting principles or the non provision of charges that result in an increase or decrease in profits. It is really the only impartial report that a shareholder or investor receives and this alone should spur one to scrutinise the auditor's report minutely. Unfortunately, more often than not it is not read.

There can be interesting contradictions. It was stated in the Auditor's Report of ABC Ltd for the year 2009-2010 that, "As at the year end 31st March 2010, the accumulated losses exceed the net worth of the Company and the Company has suffered cash losses in the financial year ended 31st March 2010 as well as in the immediately preceding financial year. In our opinion, therefore, the Company is a sick industrial company within the meaning of clause (O) of Section 3(1) of the Sick Industrial Companies (Special Provisions) Act 1985". The Directors' report however stated, "The